Course Syllabus

Econ 590 - Topics in Macroeconomics

New Avenues in Business Cycle Research

Spring 2016

Department of Economics, UBC

Professor: Franck Portier (with occasional lectures by Paul Beaudry)

Description

These lectures will begin by a review and a critical assessment of the dominant theories of business cycles. We will then discuss a set of empirical observations that have motivated recent alternative lines of inquiry. In the process, we will discuss the merits and pitfalls of using VAR evidence and Bayesian estimation for motivating business cycle research. We discuss the challenges and desirability of building a macroeconomic model where demand forces drive fluctuations without relying on sticky prices. We will overview a set of models aimed overcoming these challenges. The lectures will finish with a discussion of the relationship between social learning and business cycles. A substantial fraction of the lectures and course work will be directed towards mastering the tools required for solving and estimating stochastic dynamic general equilibrium models.

Schedule
Mondays and Wednesdays, 14:00—15:30, Room: Iona 633

Evaluation
Course work and class presentation (35%), project (35%) and final exam (30%)

Webpage for course
Check on https://fportier.wordpress.com

Ouline

1- Business Cycle Facts
2- The Current Consensus and its Extensions
3- Critical Evaluation, Looking at More Facts
4- Building Blocks of a New Theory of Business Cycles

Books

- Dejong and Chetan, Structural Macroeconometrics, Princeton University Press, 2007.
- Farmer, Macroeconomics of Self-fulfilling Prophecies, MIT Press, 1999
- Canova, Methods for Applied Macroeconomic Research, Princeton University Press, 2007
- Heer and Maussner, Dynamic General Equilibrium Modeling, Springer-Verlag, 2009

Reading list

1- Critical review of RBC and New Keynesien approach to Business cycles

- Cogley and Nason, "Output Dynamics in Real-Business-Cycle Models", American Economic Review, 1995

- Christiano, L., M. Eichenbaum and C. Evans, "Nomimal Rigidities and the Dynamic Effects of Monetary Shocks", Journal of Political Economy, 2005, 113(1), 1-45.

- Smets, F and R. Wouters, 2007, Shocks and Frictions in US Business Cycles: A Bayesien DSGE approach. American Economic Review, 97, 586-606.

- R. King and S. Rebelo (1999). Resuscitating Real Business Cycles, In Taylor, Woodford, Handbook of Macroeconomics, 927-1007

- Gali, J. And M. Gertler (2008) Macroeconomic Modeling for Policy Evaluation, Journal of Economic Perspectives, vol 21, 25-45

- Walsh, C. Monetary Theory and Policy, MIT Press 2003, section 5.3.

- Christiano et al. Understanding the Great Recession

- Bernanke, Gali and Gertler, "The financial accelerator in a quantitative business cycle framework", Handbook of Macroeconomics, 1999

2- Solving and Calibrating stochastic dynamic models

- Dejong and Chetan, Structural Macroeconometrics, Princeton University Press, 2007, Chapters, 2, 3, 5, 6

- Heer and Maussner, Dynamic General Equilibrium Modeling, Springer, 2009, Chapter 2, Perturbation Methods.

3- Vars and identification of meaningful patterns

- Blanchard, O. And D. Quah, The Dynamic Effects of Aggregate Demand and Supply Disturbances, American Economic Review, 79, 1989, 655-73

- Chari, VV, P. Kehoe and H. McGratton, Are Structural VARS with Long Run Restrictions Useful in Developing Business Cycle Theory, Journal of Monetary Economics 55, 1337-1352, 2008..

- Fernandez-Villaverde, J., J. Rubio-Ramirez, and T. Sargent, A, B, C's (AND D)'s For Understanding VARs, AER, 97:1021-1026..

- Cochrane, J. (1994), Shocks, Carnegie-Rochester Conference Series on Public Policy. 295-364, 1994.

- Gali, J. (1999) Technology, Employment and Business Cycle: Do Technology Shocks Explain Aggregate Fluctuations? American Economic Review 89, 249-71

4- Estimation and evaluation of Stochastic Dynamic models

- Dejong and Chetan, Structural Macroeconometrics, Princeton University Press, 2007, Chapters 7, 8, 9.

- Smets, F and R. Wouters, 2007, Shocks and Frictions in US Business Cycles: A Bayesien DSGE approach. American Economic Review, 97, 586-606.

5- Alternative sources of fluctuations: Investment specific shocks, news shock, risk shocks and mood shocks

- Fisher, J. (2006), The Dynamic Effects of Neutral and Investment Specific Technology Specific Shocks, Journal of Political Economy 114, 413-451.

- Beaudry and Portier (2006), "News, Stock Prices and Economic Fluctuations", American Economic Review, 1293-1307.

- Beaudry, P. and B. Lucke, Letting Different Views of Business Cycles Compete, NBER Macro Annual 2009.

- Bloom, N., The Impact of Uncertainty Shocks. Econometrica, 2009.

- Justiniano, A. G. Primiceri and A, Tambalotti, "Investment Shocks and Business Cycles", NBER wp 15570, Decemeber 2009.

- Beaudry, Moura and Portier, "Reexamining the Cyclical Behavior of the Relative Price of Investment", Economic letters, 2015

- Farmer, R. The Macroeconomic of Self-Fulfilling Prophecies. MIT Press 1998.

- Cosmin and Schenider, “Ambiguous Business Cycles”, American Economic Review, 2014

- Bloom, Floetotto, Jaimovich, Saporta-Eksten and Terry,“Really Uncertain Business Cycles”, NBER Working Paper No. 18245, Issued in July 2012

6- <u>Ideas and Difficulties with demand driven business cycles</u>

- Beaudry and Portier (2007), ``When can Changes in Expectations Cause Business Cycle Fluctuations'', Journal of Economic Theory.

- Pigou, A. Industrial Fluctuations, London: MacMillan 1927.

- Beaudry and Portier (2004), ``Exploring Pigou's Theory of Cycles'', Journal of Monetary Economics, 2004

- Beaudry and Portier, “News Driven Business Cycles: Insights and Challenges”, Journal of Economic Literature, 2015

7- <u>Recent models of news driven business cycles</u>

- Jaimovich, N. And S. Rebello, Can News about the future Drive Business Cycles? American Economic Review, 2009.

- Christiano, L, R. Motto and M. Rostagno, (2007), Monetary Policy and the Stock Market Boom-Bust Cycle.

- Schmitt-Grohe, S. And M. Uribe (2008), Whats News in Business Cycle.

- Comin, D., M. Gertler and A. Santacreu (2008), Changes in Growth Potential and Endogenous Technology Diffusion as a Source of Output and Asset Price Fluctuation. NYU manuscript.

- DenHaan and G. Kattenbrunner (2009). Anticipated Growth and Business Cycles in Matching Models, Journal of Monetary Economics,

8- <u>Other models driven by demand</u>

- Beaudry, Galizia and Portier “Reconciling Hayek and Keynes view of Business Cycles”, NBER Working Paper No. 20101, Issued in 2014

- Beaudry, Galizia and Portier “Reviving the limit Cycle view of Macroeconomic Fluctuations”, NBER Working Paper No. 21241, Issued in 2015

- Beaudry and Portier “Non-Inflationary Demand Driven Buisness Cycles”, NBER Macroeconomics Annual 2013, Volume 28.

- Greenwood, Hercovitz and Huffman, “Investment, Capacity Utilization, and the Real Business Cycle," American Economic Review, 1988

9- Social learning and business cycles

- Zeira J. Informational Cycles, Review of Economic Studies, (1994), 61, 31-44.

- Chamley, C. Rational Herds, Cambridge, 2004

- Chamley, C. and Douglas G., “Information Revelation and Strategic Delay in a model of investment” Econ. 1994.

- Lucas, R ``Expectations and the neutrality of Money", Journal of Economic Theory, 1972.

- Banerjee, A, “ A Simple Model of Heard Behavior”, QJE 1992.

- Bikhchandani, S, D. Hirshleifer and Ivo Welch: A theory of fads, fashions, costoms and cultural change as information cascades, JPE 1992.

- Scheinkman and Xiong, (2003) ``Overconfidence and Speculative Bubbles'', Journal of Political Economy, 111(6), 1183-1219, December 2003.

- Caplin and Leahy (1993), ``Sectoral Shocks, Learning and Aggregate Fluctuations'', Review of Economics Studies, 60(4), 777-94.

- Allen, F., S Morris, and H. Song Shin “ Beauty Contests, Bubbles and Iterative Expectations in Asset Markets

- Lorenzoni, G. (2008). A Theory of Demand Shocks. American Economic Review, 2009.